

AVGO

Broadcom is the only at-scale merchant designer pairing custom AI accelerators AND the dominant AI Ethernet networking stac...

Street PT **\$523.73** **+43.5%**

Broadcom

www.broadcom.com

Updated June 27, 2026 · 3 versions

AVGO PUBLIC DRAFT

- AI Custom Silicon (XPU / ASIC)
- AI & Data-Center Networking
- Semiconductors
- Infrastructure Software (VMware)

45 ANALYSTS · CONSENSUS VIEW

+43.5%

upside to the Street target
at 23.6x EV/Rev (LTM)

PRICE \$365.02	MKT CAP \$1.7T	STREET PT \$523.73
EV / REV 23.6x	CONSENSUS Strong_Buy	VS QQQ +7pp 1Y

All trading data as of the **2026-06-26** US market close (yfinance; EV/Rev recomputed from last close × shares + net debt). Figures covering a different window are labeled individually.

FORWARD P/E 18.8x consensus fwd EPS	EV/REV 52-WK BAND 17.2x–31.8x price effect only; today's shares, net debt + LTM rev	SHORT INTEREST 1.3% % of float
NET DEBT \$45.3B cash – total debt	SBC % OF REV 11.6% LTM, the dilution drag	

WHAT MATTERS

KEY DEBATE	Is the AI ramp accelerating or plateauing? An in-line (not raised) \$56B FY2026 AI guide drove a ~13% selloff, bulls see >\$100B by FY2027, bears see a stock priced for perfection at ~24x EV/Rev (2026-06-10 close).
NEXT CATALYST	Fiscal Q3 2026 results (quarter ending ~August 2, 2026), where management guides AI semiconductor revenue to \$16.0B (>200% YoY), the next test of whether the ramp re-accelerates, and new CFO Amie Thuener's first full quarter.

BULL · BASE · BEAR

Bear Customer concentration: a handful of hyperscalers (Google, Meta, plus Apple in wireless) and now OpenAI/Anthropic drive a large	Base STREET \$523.73 (+43.5%) Street consensus Strong_Buy, 45 analysts; the \$523.73 target sits +43.5% above the \$365.02 close	Bull AI revenue scaling: Management's >\$100B FY2027 AI-revenue ambition and the OpenAI 10 GW deal extend the runway well beyond FY2026's ~\$56B
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share of AI and total revenue, loss,
in-sourcing...

BUSINESS OVERVIEW

IN ONE SENTENCE

Broadcom designs custom AI chips and the networking silicon that wires them together for hyperscalers like Google, Meta and OpenAI, and sells VMware and other infrastructure software to enterprises. NASDAQ: AVGO; \$75.5B LTM revenue, with AI semiconductors ~half of quarterly sales.

PLAIN ENGLISH

What it does, who pays

- Broadcom makes the specialized chips that power AI data centers and the internet.
- Its biggest growth: custom AI chips built for Google, Meta, OpenAI and others.
- It also makes the networking gear that wires thousands of chips together.
- Plus it sells VMware software that runs companies' data-center servers.

THE TECHNICAL VERSION

How it actually works

- Designs custom XPU/ASIC AI accelerators co-developed with each hyperscaler customer.
- Supplies AI networking silicon (Tomahawk switches, Jericho routers) for Ethernet clusters.
- Runs VMware/infrastructure software on a high-margin subscription (VCF) model.
- Converts ~46% of revenue to free cash flow, funding the dividend and buybacks.

EXPLAINED SIMPLY

The analogy

- Think of Broadcom as the company that builds custom engines AND the highways for AI.
- Big AI firms hire it to design a chip tuned to exactly their needs.
- And it owns VMware, the software that quietly runs corporate computer rooms.

KEY TERMS, DECODED

ASIC *Application-Specific Integrated Circuit*

A chip custom-built for one specific job, making it faster and cheaper at that task than a general-purpose chip.

XPU

Broadcom's term for a custom AI accelerator chip it co-designs with a specific hyperscaler customer.

AI accelerator

A chip specialized to crunch the math behind AI models far faster than a normal CPU.

Hyperscaler

A giant cloud/data-center operator (Google, Meta, Amazon, Microsoft, OpenAI) buying compute at massive scale.

Ethernet (networking switch)

The open networking standard Broadcom champions to connect many chips/servers so they act as one big computer.

InfiniBand

A competing high-speed networking standard (associated with Nvidia) that Broadcom's Ethernet products aim to displace in AI clusters.

VMware / virtualization

Software that splits one physical server into many virtual machines, letting companies run their data centers more efficiently.

FCF *Free Cash Flow*

The cash a business generates after operating costs and capital spending, the money available for dividends, buybacks and debt paydown.

- (NASDAQ: AVGO), headquartered in Palo Alto, CA and led by CEO Hock Tan, is a global semiconductor and infrastructure-software leader operating in two segments.
- Semiconductor Solutions (~68% of fiscal Q2 2026 revenue) spans custom AI accelerators ('XPU's/ASICs) co-designed with hyperscalers, AI networking silicon (Tomahawk Ethernet switches, Jericho fabric routers), plus broadband, wireless (Apple is a large connectivity customer), server storage and industrial chips.
- Infrastructure Software (~32%) is anchored by VMware, acquired for roughly \$69B in November 2023, which transformed Broadcom's software mix, alongside mainframe (CA/Brocade) and security (Symantec). The company has reoriented around the AI build-out: in fiscal Q2 2026 (ended May 3, 2026), AI semiconductor revenue hit a record \$10.8B (+143% YoY), about half of total revenue, with networking ~40% of AI sales.
- Broadcom is the dominant merchant custom-silicon (ASIC) designer, now serving six core XPU customers including Google (TPU), Meta (MTIA), Anthropic and OpenAI. It trades near \$372 as of the 2026-06-10 close (~\$1.8T market cap).

SOURCES: **BROADCOM Q2 FY2026 RESULTS (SEC EDGAR 8-K)** · **BROADCOM Q4/FY2025 RESULTS (SEC EDGAR 8-K)** · **CNBC, OPENAI PARTNERS WITH BROADCOM ON CUSTOM AI CHIPS**

EXECUTIVE LEADERSHIP

PRESIDENT & CHIEF EXECUTIVE OFFICER

Hock E. Tan

Long-time CEO and architect of Broadcom's roll-up M&A strategy (Brocade, CA, Symantec, VMware) and the pivot into AI custom silicon.

CHIEF FINANCIAL OFFICER (RETIRING JUNE 12, 2026)

Kirsten M. Spears

CFO who signed the Q2 FY2026 results after ~12 years in Broadcom finance; retiring June 12, 2026, with consulting support through March 2027.

CHIEF FINANCIAL OFFICER (INCOMING, EFFECTIVE JUNE 12, 2026)

Amie Thuener

Appointed CFO in March 2026; previously VP, Corporate Controller & Chief Accounting Officer of Alphabet Inc. since 2018, earlier at PwC.

PRESIDENT, SEMICONDUCTOR SOLUTIONS GROUP

Charlie B. Kawwas, Ph.D.

Leads the semiconductor business spanning AI accelerators and networking.

PRODUCT & REVENUE MODEL

- Broadcom's economics rest on two engines.
- (1) AI semiconductors: it co-designs custom XPUs/ASICs with individual hyperscalers (18-24 month design cycles) and supplies the highest-bandwidth Ethernet networking silicon (Tomahawk 6 at 102.4 Tbps; the Jericho4 fabric router links more than 1M XPUs across data centers). Management has reaffirmed roughly \$56B of FY2026 AI semiconductor revenue and reiterated a more than \$100B FY2027 AI-revenue ambition, with AI bookings exceeding \$30B. (2) Infrastructure software: VMware is being converted from perpetual licenses to VMware Cloud Foundation (VCF) subscriptions, lifting recurring revenue and margins.
- The model is a free-cash-flow machine, fiscal Q2 2026 free cash flow was \$10.26B (46% of revenue) and adjusted EBITDA was \$15.24B (69% margin), funding a \$0.65/quarter dividend (raised 10% for FY2026) and a \$10B buyback authorization.

SOURCES: [BROADCOM Q2 FY2026 RESULTS \(SEC EDGAR 8-K\)](#) · [BROADCOM SHIPS TOMAHAWK 6 \(BROADCOM.COM\)](#)

RECENT NEWS

2026-06-24

OpenAI and Broadcom Unveil 'Jalapeño', OpenAI's First Custom AI Inference Chip

SOURCE: [CNBC](#)

The ASIC delivers ~50% cost savings vs. Nvidia GPUs for inference and validates Broadcom's XPU business with a sixth major hyperscaler customer, directly supporting management's \$100B+ FY2027 AI revenue forecast.

2026-06-24

Broadcom Rallies on Jalapeño as OpenAI Reduces Nvidia Dependence

SOURCE: [BLOOMBERG](#)

The co-branded chip launch reinforces Broadcom's custom silicon moat with a sixth hyperscaler XPU customer, expanding the addressable market and providing a re-rating catalyst.

2026-06-18	Broadcom Completes \$3.0B Senior Notes Tender Offer, Liability Management Ahead of AI Build Cycle SOURCE: SEC EDGAR Settlement of legacy senior notes due 2037/2038 (upsized from \$2.5B) reduces interest costs and signals proactive balance sheet management as Broadcom invests heavily in AI infrastructure.
2026-06-12	Broadcom Names Amie Thuener as CFO; Kirsten Spears Retires After 12 Years SOURCE: SEC EDGAR (8-K FILING) Leadership transition at a pivotal moment: Thuener, previously VP/Corporate Controller and CAO at Alphabet, joins as Broadcom executes a \$56B AI chip roadmap and integrates VMware. Spears continues under a nine-month consulting agreement through March 2027.
2026-06-03	Broadcom posts record fiscal Q2 2026: revenue \$22.2B (+48%), AI semis \$10.8B (+143%); stock falls ~13% on unchanged \$56B AI guide SOURCE: CNBC Confirms AI is now ~half of revenue, but shows the stock is priced for perfection, an in-line (not raised) full-year AI guide and a small VMware/software miss triggered a double-digit selloff.
2026-03-30	Broadcom names Alphabet finance exec Amie Thuener CFO, succeeding retiring Kirsten Spears effective June 12, 2026 SOURCE: BROADCOM CFO TRANSITION (SEC EDGAR 8-K) First CFO change in years; hiring Alphabet's chief accounting officer adds hyperscaler-finance pedigree as AI scales, but is a key-person transition to watch.
2026-03-04	Broadcom fiscal Q1 2026: revenue \$19.3B, AI revenue \$8.4B (+106%); new \$10B buyback authorized SOURCE: BROADCOM Q1 FY2026 RESULTS (SEC EDGAR 8-K) Showed AI revenue more than doubling and signaled capital-return capacity even as the company invests in the AI ramp.
2025-12-11	Broadcom reports record FY2025: revenue \$63.9B (+24%); AI segment revenue of \$20B (+65% YoY); raises dividend 10% to \$0.65 SOURCE: BROADCOM Q4/FY2025 RESULTS (SEC EDGAR 8-K) First full year with VMware fully consolidated and AI scaling, FCF of \$26.9B underpins the dividend and buyback and frames the FY2026 AI ramp.

FINANCIALS & KEY METRICS

Reporting period: Q2 FY2026 (ended May 3, 2026); reported June 3, 2026. Each metric is tagged with the period it covers; LTM and as-of figures are labeled individually.

TOTAL REVENUE

\$22.19B

▲ +48% YoY

Q2 FY2026

FREE CASH FLOW

\$10.26B

46% of revenue

Q2 FY2026

SEMICONDUCTOR SOLUTIONS

\$15.01B

▲ +79% YoY

Q2 FY2026

INFRASTRUCTURE SOFTWARE

\$7.18B

▲ +9% YoY

Q2 FY2026

AI SEMICONDUCTOR REVENUE

\$10.8B

▲ +143% YoY

Q2 FY2026

ADJUSTED EBITDA

\$15.24B

69% of revenue

Q2 FY2026

NON GAAP EPS

\$2.44

▲ +54% YoY

Q2 FY2026

QUARTERLY DIVIDEND

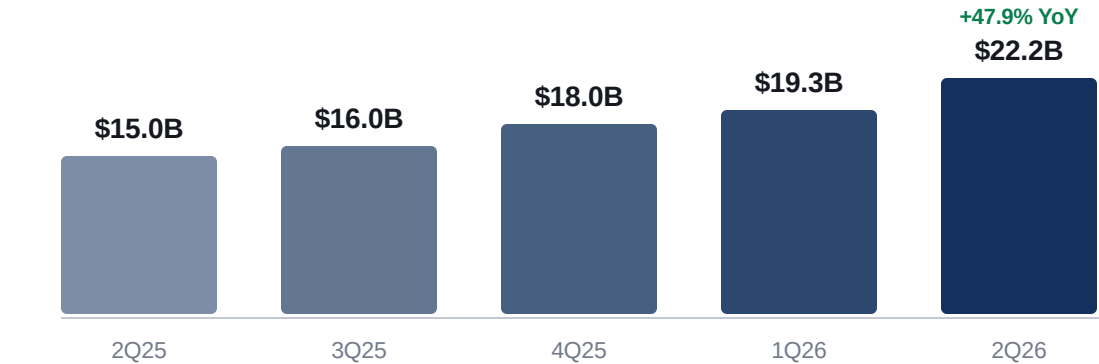
\$0.65 per share

Q2 FY2026

SEGMENT DETAIL, BOOKINGS & GUIDANCE

Guidance	Q3 FY2026 GUIDANCE	~\$29.4B	▲ +84% YoY	Guidance	Q3 FY2026 GUIDANCE	\$16.0B
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QUARTERLY REVENUE (\$B)



LAST 5 QUARTERS

	2Q25	3Q25	4Q25	1Q26	2Q26
REVENUE	\$15.0B	\$16.0B	\$18.0B	\$19.3B	\$22.2B
YOY					+47.9%

	2Q25	3Q25	4Q25	1Q26	2Q26
QOQ		+6.3%	+12.9%	+7.2%	+14.9%
GROSS MARGIN	68.0%	67.1%	68.0%	68.1%	69.5%

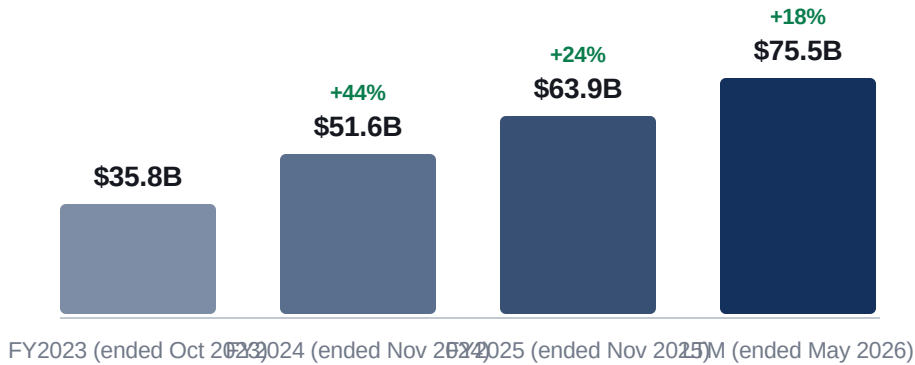
SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (2Q26): 47.9% YoY revenue growth.

- **AI / Product:** CEO Hock Tan said fiscal Q2 AI semiconductor revenue of \$10.8B grew 143% YoY 'above our forecast, driven by increasing demand for custom AI accelerators and AI networking,' and the company expects fiscal Q3 AI revenue to grow more than 200% YoY to \$16.0B. Management reaffirmed (did not raise) roughly \$56B of FY2026 AI semiconductor revenue and reiterated a more than \$100B FY2027 AI-revenue ambition, with AI bookings above \$30B. Six core custom-XPU customers now include Google, Meta, Anthropic and OpenAI.
- **Demand:** Networking was ~40% of AI semiconductor revenue (Tomahawk/Jericho). Infrastructure Software (\$7.18B) slightly missed the ~\$7.32B Street estimate as the VMware subscription conversion matures, and the stock fell ~13% post-print because the unchanged \$56B AI guide was read as a ceiling rather than a raise. The non-AI semiconductor portfolio (broadband, wireless, industrial) remains cyclical, but free cash flow of \$10.26B (46% of revenue) keeps funding the dividend and buyback.

SOURCES: BROADCOM Q2 FY2026 RESULTS (SEC EDGAR 8-K) · CNBC, BROADCOM FISCAL Q2 2026 EARNINGS

REVENUE TRAJECTORY

ANNUAL REVENUE (\$B)



SOURCES: SEC EDGAR (as reported) · SEC EDGAR (as reported, FY2025 8-K) · yfinance / Yahoo Finance (live pull, 2026-06-10 close)

KEY RISKS & DEBATES

- ! **Customer concentration:** a handful of hyperscalers (Google, Meta, plus Apple in wireless) and now OpenAI/Anthropic drive a large share of AI and total revenue, loss, in-sourcing, or a capex pause at any one would hit results outsized.
- ! **AI-revenue durability vs. Nvidia merchant GPUs:** the bull case rests on hyperscalers preferring custom XPU's and Ethernet over Nvidia's GPU+InfiniBand stack; an unchanged \$56B FY2026 AI guide already spooked investors who feared a ceiling.
- ! **VMware pricing backlash / churn:** the forced perpetual-to-subscription conversion and large VCF bundles have driven steep price increases and customer pushback, and fiscal Q2 software revenue already slightly missed the Street.

- !

China & geopolitical exposure: U.S.-China export controls and softer Chinese demand weigh on the non-AI semiconductor and networking businesses and add regulatory uncertainty.
- !

Debt and integration from VMware: the ~\$69B VMware deal loaded the balance sheet with debt; deleveraging competes with the dividend, buyback, and AI investment for cash.
- !

Valuation & cyclicality: at ~24x EV/Revenue (2026-06-10 close) and a ~\$1.8T market cap, the multiple prices in flawless AI execution, while the non-AI semiconductor portfolio remains cyclical and has been a recent drag.

SOURCES: CNBC, BROADCOM FISCAL Q2 2026 EARNINGS / STOCK DROP · BROADCOM Q2 FY2026 RESULTS (SEC EDGAR 8-K)

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	MKT CAP	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	FCF MARGIN LTM	RULE OF 40 growth + FCF
Broadcom subject; custom AI silicon + dominant AI Ethernet networking, layered on a VMware FCF cash cow; ~46% FCF margin funds a growing dividend	AVGO	Subject	\$1.7T	23.6x	47.9%	76.3%	36.1%	84
Marvell Technology closest custom-silicon (ASIC) and AI-networking peer; the other merchant designer chasing hyperscaler XPU and optical sockets, lower gross margin	MRVL		\$233.4B	26.9x	27.6%	51.5%	26.0%	54
AMD merchant AI GPU (Instinct) and data-center CPU challenger; competes for the same hyperscaler AI compute budget	AMD		\$850.5B	22.5x	37.8%	53.1%	19.2%	57
NVIDIA the merchant-GPU incumbent and primary competitive frame; faster-growing at a lower EV/Rev, the GPU+InfiniBand stack Broadcom's custom-ASIC+Ethernet alternative competes against	NVDA		\$4.7T	18.2x	85.2%	74.1%	18.3%	103
Qualcomm diversified mobile/edge connectivity peer; far less AI-data-center levered and far cheaper, a valuation/cyclicality contrast point	QCOM		\$199.6B	4.6x	-3.5%	54.8%	21.6%	18
Peer median EX-SUBJECT				20.4x	32.7%	54.0%	20.4%	56

GROWTH VS MULTIPLE



SOURCES: Public-ticker multiples pulled live from [yfinance / Yahoo Finance](#), as of the 2026-06-26 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY), Gross Margin, and FCF Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above. Rule of 40 = revenue growth + FCF margin. **Broadcom trades at 23.6x vs a 20.4x peer median, a 16% premium to the median.**

SWOT ANALYSIS

How Broadcom stands out: Broadcom is the only at-scale merchant designer pairing custom AI accelerators (XPUs) AND the dominant AI Ethernet networking stack, a hyperscaler-aligned alternative to Nvidia, layered on a VMware/software cash cow that funds a sector-leading ~46% FCF margin and a growing dividend. At a premium EV/Rev (live multiple in comps table) (2026-06-10 close) it sits between faster-growing Nvidia (~19x) and lower-margin Marvell (~26x).

STRENGTHS

INTERNAL EDGE

- **Custom-silicon moat:** Six core XPU customers (Google, Meta, Anthropic, OpenAI + two unnamed) on 18-24 month co-design cycles create deep switching costs and >\$30B of AI bookings visibility.
- **Networking dominance:** Tomahawk 6 (102.4 Tbps) and Jericho4 make Broadcom the de facto Ethernet-for-AI standard-bearer; ~40% of AI revenue is networking, diversifying beyond accelerators.
- **FCF & capital-return machine:** Fiscal Q2 2026 FCF of \$10.26B (46% of revenue) and a 69% adjusted EBITDA margin; VMware is a high-margin recurring cash cow funding the dividend and \$10B buyback.

WEAKNESSES

INTERNAL GAP

- **Concentration:** A few hyperscalers plus Apple drive an outsized revenue share; results swing on a handful of customers' capex and in-sourcing decisions.
- **VMware execution risk:** Aggressive subscription/price resets are alienating some enterprise customers; fiscal Q2 software revenue already missed the Street estimate.
- **Leverage:** VMware-related debt competes with AI investment and capital returns for cash flow.

OPPORTUNITIES

EXTERNAL UPSIDE

- **AI revenue scaling:** Management's >\$100B FY2027 AI-revenue ambition and the OpenAI 10 GW deal extend the runway well beyond FY2026's ~\$56B.
- **Ethernet vs. InfiniBand:** The industry shift toward open Ethernet for AI scale-up/scale-out plays directly to Broadcom's switch/router franchise.
- **VMware Cloud Foundation:** Full subscription conversion lifts recurring revenue and margins as the installed base renews onto VCF.

THREATS

EXTERNAL RISK

- **Nvidia competition:** Nvidia's GPU + NVLink/InfiniBand stack and pace of innovation could blunt custom-ASIC and Ethernet adoption.
- **Valuation / expectations:** elevated EV/Rev (live multiple in comps table) EV/Rev (2026-06-10 close) prices in perfection, an in-line guide already drove a ~13% drop; any AI-demand wobble de-rates the multiple fast.
- **China & cyclical:** Export controls and a cyclical non-AI chip portfolio (broadband, wireless, industrial) remain downside swing factors.

SOURCES: BROADCOM Q2 FY2026 RESULTS (SEC EDGAR 8-K) ·
YFINANCE / YAHOO FINANCE, LIVE COMPS (2026-06-10 CLOSE)

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-06-18 · period 2026-06-17	View on EDGAR >
8-K	filed 2026-06-11 · period 2026-06-11	View on EDGAR >
10-Q	filed 2026-06-09 · period 2026-05-03	View on EDGAR >
10-Q	filed 2026-03-11 · period 2026-02-01	View on EDGAR >
10-K	filed 2025-12-18 · period 2025-11-02	View on EDGAR >
10-K	filed 2024-12-20 · period 2024-11-03	View on EDGAR >

SOURCE: SEC EDGAR · CIK 0001730168 · primary filings of record.

SLIDE-READY BULLETS

- 1 AI is now ~half the business: record AI semiconductor revenue of \$10.8B (+143% YoY) in fiscal Q2 2026 on total revenue of \$22.2B (+48%), with management guiding fiscal Q3 AI revenue to \$16.0B (>200% YoY).
- 2 Two-sided AI moat: Broadcom is the leading merchant designer of custom hyperscaler accelerators (XPU's for Google, Meta, Anthropic, OpenAI) AND the dominant AI Ethernet networking vendor (Tomahawk, Jericho), ~40% of AI revenue is networking.
- 3 Cash machine: fiscal Q2 2026 free cash flow of \$10.26B (46% of revenue) and a 69% adjusted EBITDA margin fund a \$0.65 dividend (raised 10%) and a \$10B buyback, with VMware a high-margin recurring cash cow.
- 4 The debate is the trajectory: management reaffirmed, but did not raise, ~\$56B of FY2026 AI revenue and reiterated a >\$100B FY2027 ambition; the unchanged guide drove a ~13% post-earnings selloff.
- 5 Priced for perfection at ~24x EV/Revenue (as of the 2026-06-10 close): bulls underwrite the AI ramp and FCF, bears point to customer concentration, VMware pricing backlash, and a cyclical non-AI chip portfolio.

SMART DILIGENCE QUESTIONS

- Q1 How durable and diversified is the AI custom-silicon pipeline beyond Google and Meta? What is the revenue ramp, design-win timing, and margin profile of the newer XPU programs (OpenAI's 10 GW, Anthropic, and the unnamed customers), and how exposed is the >\$100B FY2027 ambition to any single hyperscaler's capex or a decision to in-source?
- Q2 What is the real trajectory of VMware after the subscription conversion? What are renewal/retention rates, the magnitude of price resets, churn to alternatives (Nutanix, Red Hat, hyperscaler-native), and how much of the ~32% software mix is durable recurring revenue versus a one-time conversion bump?
- Q3 How should investors frame the custom-ASIC-plus-Ethernet bet against Nvidia? Where are hyperscalers actually splitting spend between Broadcom XPU's and merchant GPU's, how is Ethernet winning vs InfiniBand in real deployments, and what would a slowdown in AI training capex do to both the accelerator and networking lines?

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance

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ATLAS